

THE INSOLVENCY AND BANKRUPTCY CODE, 2016

(ACT NO. 31 OF 2016)

SECTION 7: INITIATION OF CIRP BY FINANCIAL CREDITOR

(1) A financial creditor either by itself or jointly with other financial creditors, or any other person on behalf of the financial creditor, may file an application for initiating corporate insolvency resolution process against a corporate debtor before the Adjudicating Authority when a default has occurred.

Explanation.—For the purposes of this sub-section, a default includes a default in respect of a financial debt owed not only to the applicant financial creditor but to any other financial creditor of the corporate debtor.

(2) The financial creditor shall make an application under sub-section (1) in such form and manner and accompanied with such fee as may be prescribed.

(3) The financial creditor shall, along with the application furnish?

- (a) record of the default recorded with the information utility or such other record or evidence of default as may be specified;
- (b) the name of the resolution professional proposed to act as an interim resolution professional; and
- (c) any other information as may be specified by the Board.

(4) The Adjudicating Authority shall, within fourteen days of the receipt of the application under sub-section (2), ascertain the existence of a default from the records of an information utility or on the basis of other evidence furnished by the financial creditor under sub-section (3).

(5) Where the Adjudicating Authority is satisfied that?

- (a) a default has occurred and the application under sub-section (2) is complete, and there is no disciplinary proceeding pending against the proposed resolution professional, it may, by order, admit such application; or
- (b) default has not occurred or the application under sub-section (2) is incomplete or any disciplinary proceeding is pending against the proposed resolution professional, it may, by order, reject such application:

Provided that the Adjudicating Authority shall, before rejecting the application under clause (b), give a notice to the applicant to rectify the defect in his application within seven days of receipt of such notice from the Adjudicating Authority.

STATUTORY INTERPLAY: ARTICLE 137 & SECTION 18 OF LIMITATION ACT, 1963

? Article 137 Limitation: An application under Section 7 IBC is governed by Article 137 of the Limitation Act, 1963, prescribing a limitation period of three (3) years from the date on which default occurs (BK Educational Services v. Parag Gupta).

? Section 18 Acknowledgment: Balance sheets, financial statements, and written OTS proposals signed by the Corporate Debtor constitute valid acknowledgment of debt under Section 18, resetting the limitation clock (Asset Reconstruction Company v. Bishal Homes).